CSIS JAPAN CHAIR

Japan Daily Brief

Saturday, October 17, 2026

1,766 words · 7 min read

RE: BOJ Ueda signals rate hikes · Yasukuni offering draws Seoul/Beijing protest · TSMC Kumamoto 3nm · Russia journalist swap speculation · False M9.9 alert

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
65,324.29	157.99	$109.86	1.00%
▼ -5.37%	▼ -0.14%	▲ +3.01%	

TOP STORIES

ECONOMY-BOJ

Bank of Japan Must Ensure Underlying Inflation Doesn’t Go Above 2%, Ueda Says

BOJ Governor **Kazuo Ueda** said the central bank 'can't tolerate' underlying inflation rising further above 2%, explicitly reaffirming the rate-hike path two weeks before the bank's next policy decision, which observers currently expect to leave rates unchanged. He cited Middle East supply conditions, AI demand, and foreign-exchange rates as variables that will affect the timing of future moves.

WSJ

ALLIANCE

Japan's ICC rift with US limits options in handling China, Russia pressure

Nikkei Asia reports that Japan's public break with the United States over ICC sanctions — Tokyo's sharpest alliance disagreement in recent months — is constraining diplomatic options as Beijing and Moscow step up coordinated pressure. The piece tracks how Tokyo's bilateral signaling to Washington on the ICC has complicated joint messaging on both the Senkaku issue and the detained Hokkaido Shimbun journalist case.

NIKKEI ASIA

INDO-PACIFIC

Russia may seek prisoner swap after detaining Japanese journalist

Some analysts now link Russia's FSB detention of Hokkaido Shimbun reporter Yuki Imai in Sakhalin to Russia's desire for a reciprocal exchange, noting that Japan extradited a Russian hacker to Germany earlier this month. Russia has denied consular access and a court has ordered two months' pre-trial detention.

THE JAPAN TIMES

POLITICS-DIET

Japan PM Takaichi sends offering to Yasukuni Shrine

Prime Minister **Sanae Takaichi** sent a ritual masakaki offering to Yasukuni Shrine for the autumn grand festival but is skipping a personal visit. South Korea's government expressed formal regret and China's Foreign Ministry urged Japan to 'face history and break with militarism.'

NHK

POLITICS-DIET

Japan Mistakenly Issues Warning for Strongest Ever Earthquake

Japan's weather agency mistakenly issued an alert for what it believed was a magnitude 9.9 earthquake — which would have been the strongest ever recorded — before withdrawing it after the tremor proved barely perceptible. Transit systems were disrupted across affected areas before the cancellation.

NYT

ECONOMY-BOJ

Japan to fall to 6th in world GDP rankings behind India, Britain: IMF

The IMF projects Japan's nominal GDP in US dollar terms will be surpassed by both India and Britain, dropping Japan to sixth place in global rankings — a structural consequence of yen depreciation and divergent growth trajectories. An IMF official separately called Tokyo's temporary consumption tax cut plan 'a very welcome step.'

MAINICHI

STAT OF THE DAY

6th

Japan's projected GDP ranking behind India and Britain — IMF

The IMF projects Japan's nominal GDP in US dollars will be overtaken by both India and Britain, dropping Japan to sixth in global rankings.

Japan to fall to 6th in world GDP rankings behind India, Britain: IMF — Mainichi

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · SATURDAY, OCTOBER 17, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi sent a ritual masakaki offering to Yasukuni Shrine for the autumn grand festival, skipping a personal visit, and is expected to continue the Diet's deliberations on the consumption tax cut bill.

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

PM Takaichi sends ritual masakaki offering to Yasukuni Shrine for autumn grand festival; skips in-person visit

Prime Minister **Sanae Takaichi** sent a ritual masakaki offering to Yasukuni Shrine for the three-day autumn grand festival running through Monday, but is expected to skip a personal visit. The offering prompted formal protests from South Korea and sharp criticism from China's Foreign Ministry.

→ The Japan Times ↗

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026	**63%**	**33.9%**
Asahi · Sep 28, 2026	**51%**	**33%**
ANN · Sep 23, 2026 **· 24d ago**	**58.3%**	**27.6%**
Kyodo · Sep 23, 2026 **· 24d ago**	**53.4%**	**30.9%**
Nikkei · Sep 5, 2026 **· 42d ago**	**62%**	**33%**
Yomiuri · Sep 19, 2026 **· 28d ago**	**59%**	**30%**
FNN · Sep 15, 2026 **· 32d ago**	**61.6%**	**32.2%**

Discourse: Takaichi cabinet faces simultaneous domestic pressures: the first ministerial resignation (Agriculture Minister Yana), debate over PM's 'makeup and chores' remarks on gender equity, Yasukuni offering protests from South Korea and China, and the Jiji poll showing approval at a cabinet low of 42.4%.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

SEMICONDUCTORS · ASAHI · TSMC, JASM

TSMC's Kumamoto second fab fully converted to 3nm — Japan's first domestic 3nm production, targeting AI demand

TSMC's second Kumamoto plant (JASM) has been fully converted to *3-nanometer* process nodes — Japan's first domestic 3nm production — with the shift driven by anticipated AI chip demand. The conversion marks a technology step-up from the first Kumamoto fab's 12-16nm baseline.

FINANCE · NIKKEI ASIA · MITSUI, PENSKE AUTOMOTIVE

Japan's Mitsui bids $1.5 billion to take Penske Automotive private

Mitsui is spending *$1.5 billion* on a bid to take US auto retailer Penske Automotive private, the largest Japanese corporate outbound M&A announcement of the week. The deal reflects continued Japanese corporate appetite for US-market assets under the strategic investment framework.

ENERGY · NIKKEI ASIA · TOHO GAS

Japan's Toho Gas to generate solar power in the US through Texas investment

Toho Gas is investing in Texas solar power generation, adding to the wave of Japanese energy-sector capital flowing into US renewable projects under the strategic investment framework. No deal value was given in available summaries.

MACRO · NIKKEI ASIA

Japan targets 2027 launch for national childbirth insurance coverage to boost birth rates

Japan is targeting a 2027 start date for a new national insurance program covering childbirth costs, part of the Takaichi government's push to reverse demographic decline. The measure comes as Japan's population pressures compound fiscal and labor-market challenges tracked in the IMF's GDP ranking downgrade.

MANUFACTURING · NIKKEI ASIA

Japan bullet trains to raise super-express fares from July 2027

Japan's Shinkansen operators will raise super-express (nozomi/mizuho) fares from July 2027, passing rising operating costs and capital expenditures to passengers. The fare increase is the first major Shinkansen pricing action in several years.

REGIONAL PRESSURE WATCH

Heavy — 48 items (Japanese government: 27, adversary signal: 22)

CHINA

China's Foreign Ministry spokesperson urged Japan to 'abandon nuclear weapons ambitions' and stated there is 'no room for consideration' for Japan to deviate from its postwar obligations — a direct response to Takaichi's earlier remark that her past comments on 'exceptionally allowing nuclear weapons' leave 'room for consideration.' Beijing also criticized Takaichi's Yasukuni offering, with Global Times citing a Chinese expert accusing her of a 'distorted historical view' and 'commitment to neo-militarism.'

NORTH KOREA

North Korea confirmed via KCNA that it tested a new AI-assisted torpedo system (designated 'Zam-2.0'), adding to its October submarine-launched cruise missile tests from a 'Hunchback'-class submarine making its first at-sea appearance for missile tests. North Korea's missile chief also questioned South Korea's hypersonic glide vehicle test, signaling further Korean Peninsula arms-race escalation with direct implications for Japan's extended deterrence posture.

RUSSIA

Russia has formally notified Japan of the detention of Hokkaido Shimbun reporter Yuki Imai in Sakhalin while denying consular access; analysts and sources cited by the Japan Times speculate Russia may seek a prisoner swap, linked to Japan's extradition of a Russian hacker to Germany earlier this month. The case compounds existing bilateral friction over the Northern Territories and the detained reporter's potential 20-year maximum sentence under Russian espionage law.

Senkaku / ECS: No new China Coast Guard territorial-water intrusion at the Senkakus was reported in today's Tier 4 data; the prior tracker recorded four CCG vessels entering Senkaku territorial waters on October 10, and the near-daily contiguous-zone patrol pattern is ongoing.

“No room for consideration for Japan to follow postwar int'l order, honor obligations”

Chinese Foreign Ministry spokesperson · No room for consideration for Japan to follow postwar int'l order, honor obligations: Chinese spokesperson — Xinhua

“China urges Japan to abandon nuclear weapons ambitions”

Chinese Foreign Ministry (via CGTN) · China urges Japan to abandon nuclear weapons ambitions — CGTN

Bottom line: China's coordinated MOFA pressure on Japan's nuclear-posture remarks and Yasukuni offering — combined with North Korea's AI torpedo test following its dual SLCM submarine launch — sustains a

multi-vector adversary pressure environment; the Russia journalist detention and prisoner-swap speculation add a bilateral complication that Tokyo must manage without full US backing given the ICC rift.

U.S.-JAPAN RELATIONS

TRADE · NIKKEI ASIA

US Treasury expresses confidence in Takaichi fiscal discipline ahead of Diet tax-cut debate

A US Treasury official publicly stated Washington has 'full confidence' in Prime Minister Takaichi's fiscal discipline, a signal of bilateral alignment on the consumption tax cut plan as the Diet prepares to take it up Tuesday. The IMF mission chief for Japan separately called the approach 'a very welcome step.'

ALLIANCE · BLOOMBERG

Bloomberg: Japan still navigating how a female prime minister should lead — alliance management implications

Bloomberg examines how **Sanae Takaichi**'s leadership style is being assessed by Washington and regional partners as she manages simultaneous domestic debates — her gender-equity comments, the agriculture minister resignation, Yasukuni — alongside alliance commitments. The piece notes that US and allied interlocutors are watching whether coalition management constrains her foreign policy bandwidth.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · THE JAPAN TIMES

Tokyo hosts second round of secret US-Myanmar military-junta talks in a month

Tokyo hosted a second round of secret talks between US officials and Myanmar's military-backed rulers, the second such meeting in a month as Washington steps up reengagement with the generals it shunned following the 2021 coup.

KOREA-JAPAN · KOREA HERALD

Seoul formally expresses regret over PM Takaichi's Yasukuni offering

South Korea's government lodged a formal expression of regret over Prime Minister Takaichi's autumn Yasukuni offering, urging Japanese leaders to 'squarely face history.'

SOUTHEAST ASIA · NIKKEI ASIA

Japan's Sumitomo and Hankyu to test power-saving rail system in the Philippines

Sumitomo and Hankyu will test a power-saving rail technology system in the Philippines, expanding Japanese infrastructure engagement in Southeast Asia's transport sector.

SOUTHEAST ASIA · NIKKEI ASIA

Japan's Chiyoda to assist Philippines in building oil storage facilities

Chiyoda Corporation will help the Philippines construct oil storage facilities, part of Japan's broader energy-security partnership push in Southeast Asia.

KOREA-JAPAN · THE JAPAN TIMES

Japan plans to raise youth awareness of Northern Territories dispute through school trips and social media

Japan's government plans to attract school trips to areas near the Russian-held Northern Territories and promote awareness of the dispute via social media, deepening the domestic education campaign on the sovereignty issue.

UPCOMING

Oct 20

BOJ next monetary policy meeting window opens (estimated)

The BOJ's next scheduled policy decision falls roughly two weeks from Governor Ueda's October 17 Bangkok remarks; observers currently anticipate no rate change but are watching for any updated inflation projections.

Oct 21

One year since Takaichi Cabinet inauguration

The Takaichi Cabinet marks its first anniversary; approval ratings have trended down from post-inauguration levels, with Jiji recording a low of 42.4%.

Nov 1

APEC summit in China — Takaichi attendance conditional on Diet schedule

PM Takaichi has signaled she will attend APEC in China 'if parliament allows,' making Diet business on the consumption tax cut bill a key constraint on her first summit visit to Beijing.

Nov 3

Culture Day (文化の日)

The 1946 constitution was promulgated on this date.

Mar 31

Foreign resident basic policy deadline — Takaichi pledge

PM Takaichi pledged to finalize Japan's foreign resident basic policy by March 2027, a commitment under watch given Japan's record number of foreign residents confirmed in today's reports.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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